IN THE NATIONAL COMPANY LAW TRIBUNAL, SPECIAL BENCH - I, CHENNAI

CP/CAA/23/CHE/2022
In
CA/CAA/101/CHE/2021

(Filed under Sections 230 to 232 of the Companies Act, 2013)

In the matter of *Scheme of Arrangement for Demerger*

Between

BAHWAN CYBERTEK PRIVATE LIMITED
CIN: U72300TN1998PTC041668
No.148, RAJIV GANDHI SALAI (OMR)
OKKIYAM THURAIPAKKAM,
CHENNAI – 600 097

...Petitioner / Demerged Company

And

BCT DIGITAL PRIVATE LIMITED
CIN: U72300TN2010PTC077897
No.148, RAJIV GANDHI SALAI (OMR)
OKKIYAM THURAIPAKKAM,
CHENNAI – 600 097

... Petitioner / Resulting Company

And

THEIR RESPECTIVE SHAREHOLDERS

*Order Pronounced on **29th June 2022***

CORAM

Justice (Retd) S. RAMATHILAGAM, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): R.Inbaraju, Advocate

ORDER

Per: **Justice (Retd) S. RAMATHILAGAM, MEMBER (JUDICIAL)**

CP(CAA)/23/CHE/2022 is a joint Company Petition filed by the Petitioner Company viz. **BAHWAN CYBERTEK PRIVATE LIMITED** and **BCT DIGITAL PRIVATE LIMITED** for the purpose of the approval of the Scheme of Arrangement, (Demerger) (hereinafter referred to as the 'SCHEME') as contemplated between the Petitioner Companies) under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 (for brevity 'the Act') read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') pursuant to the Scheme proposed between the Petitioner Companies and the said Scheme is also annexed at 'Annexure – 13' of the typed set filed along with the Petition.

2. The Registered office address of the Demerged Company is situated at Chennai, Tamil Nadu and falls within the jurisdiction of NCLT Chennai Bench. The Demerged Company had filed a company application bearing CA(CAA)101/(CHE)/2021 before the NCLT, Chennai Bench and directions were issued vide order dated 01.12.2021.

3. **1ST MOTION APPLICATION – IN BRIEF**

3.1. The Petitioner Company had filed its First Motion Application vide CA/(CAA)/101(CHE)/2021 seeking directions

for holding of meeting of the Equity Shareholders and dispensation of meetings of the Secured and Unsecured Creditors of the Demerged Company and seeking Dispensation of meeting of Equity Shareholders and Unsecured Creditors with respect to the Resulting Company. Subsequent to the said order, the Petitioner Company has filed the present Petition before this Tribunal on 02.02.2022 for sanction of the Scheme of Arrangement by this Tribunal.

3.2. Based on such application moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 01.12.2021, to convene the meetings of the Equity Shareholders of the Demerged Company on 29.01.2022 at No.148, Rajiv Gandhi Salai (OMR) okkiyam Thuraipakkam, Chennai- 600 097 at 11:00 AM. Accordingly the Tribunal has appointed Mr.Muralidharan Madhavan Vellore, Director of the Company as Chairman and Mr.Nithya Pasupathy, PCS as Scrutinizer for the said meeting.

3.3. The Chairman submitted his Report on the above said meetings held on 29.01.2022. From the Chairman's Report, it is observed that the Equity Shareholders of the Demerged Company had consented in favour of the Scheme. The said Chairman's report with respect to Demerged Company is

annexed at "Annexure 32" (Page Nos. 497 to 506, Vol III) to the typed set filed along with the Petition.

4. RATIONALE OF THE SCHEME

4.1. The Rationale and benefits of the Scheme as submitted by the Learned Counsel for the Petitioner Companies would *inter alia* result in the following benefit;

a. The demerger will enable the Demerged Company and Resulting Company to focus and enhance its remaining business operations by streamlining operations and cutting costs and consequently ensuring better and more efficient management control;

b. The demerger would provide synergistic linkages besides economies in costs and other benefits resulting from the economies of scale, by combining the similar line of businesses and operations of the Investment Undertaking of the Demerged Company with the Resulting Company and thus contribute to the profitability of the Resulting Company by rationalization of management and administrative structure;

c. The demerger would lead to greater and efficient use of infrastructure facilities and optimum utilisation of the financial resources, managerial, technical and marketing expertise of the Investment Undertaking of the Demerged Company and the Resulting Company.

d. The demerger will enable the Investment Undertaking of the Demerged Company and the

Resulting Company, to productively utilize their resources and achieve cost and operational efficiencies.

5. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 09.03.2022 has directed the Petitioner Company to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (ii) RoC, Chennai, (iii) the Income Tax Department, (iv) Reserve Bank of India and other sectoral regulators, who may govern the working of the respective companies in relation to the Scheme, as well as for paper publication to be made in *"Business Standard"*, English (All India Edition) and *"Makkal Kural"* Tamil (Tamil Nadu Edition).

6. In compliance to the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service before the Registry of this Tribunal on 30.03.2022 and a perusal of the same discloses that the Petitioner Company has effected paper publication as directed by the Tribunal in one issue of *"Business Standard"* (All India Edition) in English and *"Makkal Kural"* (Tamil Nadu Edition) in Tamil on 21.03.2022. It is also seen that notices have been also served to (i) The Regional Director, Southern Region (ii) Registrar of Companies Chennai (iii) Income Tax Department, Chennai and (iv) Reserve Bank of India. Pursuant to the service of notice of the

petition the following statutory authorities have responded as follows;

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

The Regional Director, Southern Region *(hereinafter referred to as 'RD')* to whom the notice was issued in the first motion, has filed his Report before this Tribunal and has stated that clause 6 of Part II of the Scheme provides for the protection of the interest of the employees of the Demerged Company. All staff and employees of the Demerged Company, in service on the effective date, shall be deemed to have become permanent employees of the Resulting Company, with effect from the Effective Date, without any break in their service and other benefits.

7.2 Further at Para 8, the RD has observed that as per clause 12 of Part III of the Scheme, the Resulting Company shall issue and allot to the shareholders of Demerged Company only 01 fully paid-up equity share of Rs.10 each for every 01 fully paid up equity share of Rs.10 each held in the Demerged Company as Consideration upon the effectiveness of the Scheme of Arrangement (Demerger). It is also submitted that as per Clause 12.4 of the Scheme, the Resulting Company

shall suitably increase its authorized share capital for allotment of shares to the members of the Demerged Company.

7.3 It is also stated in Para 10 of the RD Report, Chennai, both the Demerged and Resulting Company are regular in filing the statutory returns and there is no prosecution filed, no complaints pending and no inspection / investigation has been ordered / pending against the companies involved in the scheme of Arrangement(Demerger).

7.4. Thus, after examining the Scheme, except the observations as extracted *supra*, the Regional Director in their Report has stated that they have decided not to make any objection to the Scheme.

7.5. Despite notice having been served, there is no representation from the Department of Income Tax and this Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income Tax does not have any objection to the sanction of the Scheme.

7.6. In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

8. VALUATION REPORT

8.1. The Learned Counsel for the Petitioner Companies invited the attention of this Tribunal to the Valuation Report obtained from one Ajay S Jain, Chartered Accountant dated 23.07.2021, wherein it has been recommended by Registered Valuer as follows;

- 1(One) Equity shares of (BCTD) (of Rs.10/- each fully paid up) for every 1 equity share held by BCTPL in BCTD (of Rs.10/- each fully paid up)

9. ACCOUNTING TREATMENT

9.1. The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of each of the Petitioner Companies are placed at pages 404 to 406 to the typed set filed along with the petition.

10. OBSERVATIONS OF THIS TRIBUNAL

10.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this

Tribunal sanctions the Scheme of Arrangement appended as Annexure "13" along with CP(CAA)/23/CHE/2022.

10.2. The Learned Counsel for the Petitioner companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Hon'ble Tribunal or erstwhile Company Law Board.

10.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

10.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any

permission/compliance with any other requirement which may be specifically required under any law.

11. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, rights and powers of Demerged undertaking be transferred without further act or deed to the Resulting Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 be transferred to and vested in the Resulting Company for all intents, purposes and interest of the Demerged undertaking subject nevertheless to all changes now affecting the same; and

(ii) That all the liabilities, (if any) and powers, engagements, obligations and duties of the Demerged undertaking shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Resulting Company and accordingly the same become the liabilities and duties of the Resulting Company; and

(iii) That all proceedings now pending by or against the Demerged undertaking shall be continued by or against the Resulting Company; and

(iv) That all the services of all the employees of the Demerged Company employed in the Demerged undertaking shall stand transferred to the Resulting Company on the same terms and conditions at which these employees are engaged by the Demerged

Company without any interruption of service as a result of the transfer; and

(v) That the Resulting Company do without further application allot to such members of the Demerged Company, as have not given such notice of dissent, as is required by Clause 12.1 of Part III the SCHEME herein the shares in the Resulting Company to which they are entitled under the said SCHEME.

(vi) That the Resulting Company shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Resulting Company after setting off the fees paid by the Transferor Company.

(vii) That the Appointed date for the Scheme shall be **01.04.2021** as mentioned in clause 1.2 of Part I of the SCHEME itself.

(viii) That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Demerged undertaking shall be deemed to be transferred; and

(ix) That any person interested in the Scheme, shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

12. Accordingly, the Company Petition stands **allowed** on the aforementioned terms.

-SD-

SAMEER KAKAR
MEMBER (TECHNICAL)

-SD-

Justice (Retd) S.RAMATHILAGAM
MEMBER (JUDICIAL)

Sriram Ananth. V